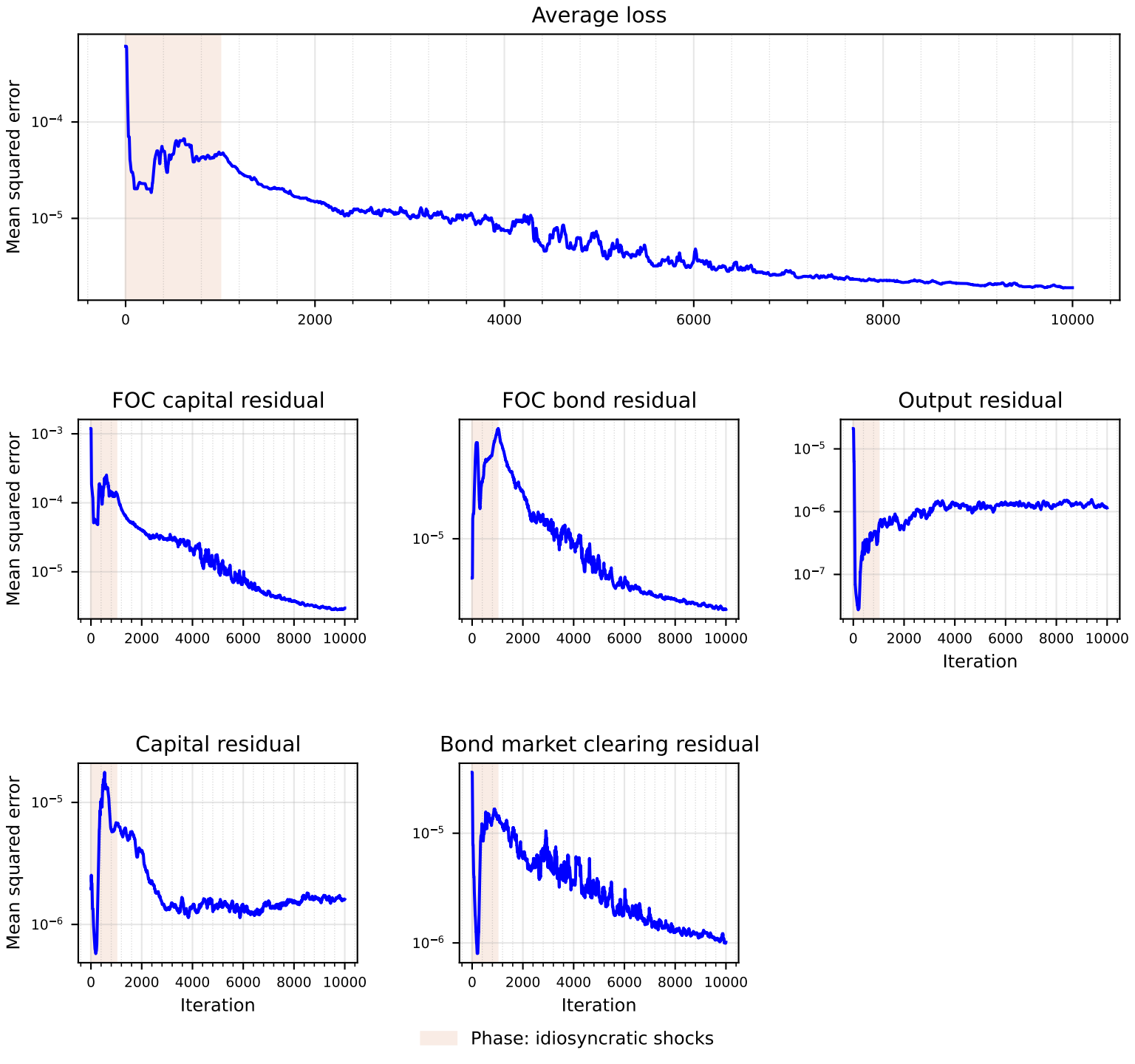

Average loss
Mean squared error
10^{-4}
10^{-5}
0
2000
4000
6000
8000
10000
FOC capital residual
Mean squared error
10^{-3}
10^{-4}
10^{-5}
FOC bond residual
10^{-5}
Output residual
10^{-5}
10^{-6}
10^{-7}
Iteration
Capital residual
Mean squared error
10^{-5}
10^{-6}
Iteration
Bond market clearing residual
10^{-5}
10^{-6}
Iteration
Phase: idiosyncratic shocks